

Week ending 25th September 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills were under-subscribed recording subscription rates of **28%, 13%** and **47%** respectively. The CBK accepted KES **1.1B**, **1.1B** and **4.4B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

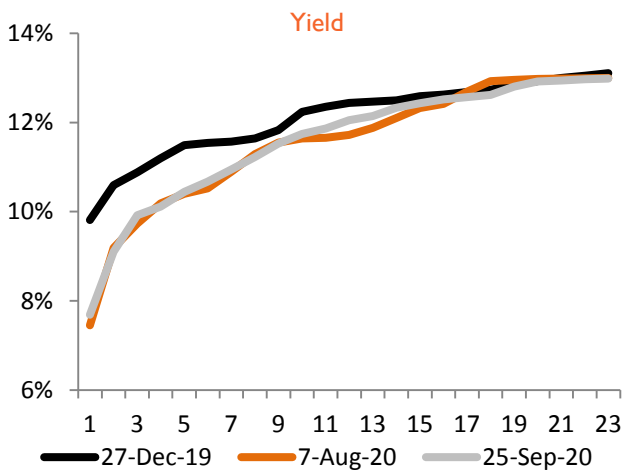
CBK's Monetary Policy Committee (MPC) is set to meet on the 29th September 2020. The MPC last lowered the Central Bank Rate (CBR) in April as it sought to support growth. Since then, economic activity has increased and private sector credit growth rose to 7.3% in June. We expect them to maintain the CBR at **7.00%** as the current rate is likely to continue to support growth.

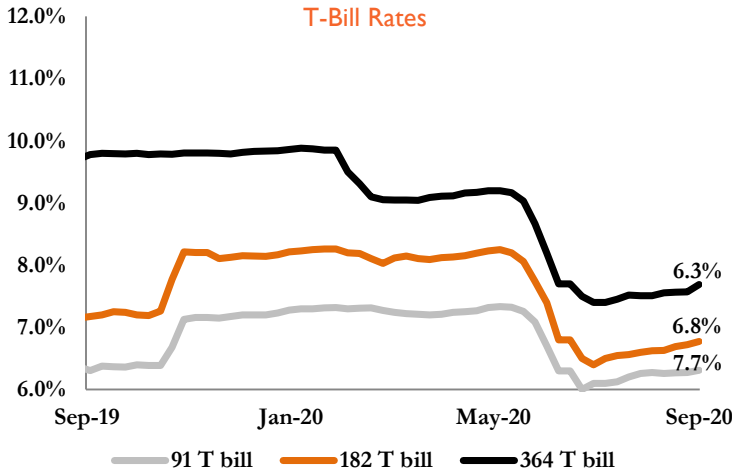
Key Indicators

	Current	Previous	% Change
91- Day	6.31%	6.27%	0.64%
182-Day	6.77%	6.72%	0.74%
364-Day	7.69%	7.57%	1.59%
Interbank Rate	3.42%	2.81%	21.71%

Macroeconomic data	Current	Previous
GDP (1Q20 vs. 1Q19)	4.9%	5.5%
Inflation (August)	4.36%	4.36%
Private sector credit growth (June)	7.6%	8.1%
Money Supply (April)	6.2%	4.9%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.08%** to stand at **108.47**.The CBK's usable forex reserves currently stand **USD 8,627million** (**5.23** months of import cover) as at September 24th a **2.39%** decrease from **USD8,838million**(**5.36** months of import cover) as at September 17th.

Inflation

Inflation remained at **4.36%** in August. The CPI increased by **0.20%** to **108.57** from **108.35.**

GDP growth

Growth receded to **4.9%** in 1Q20 from **5.5%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.2%** to **4.9%** year-on-year, other sectors have grown at a slower rate including manufacturing, construction and accommodation that slowed down by **0.6%, 0.8%** and **9.3%** respectively.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email:
trading@aib-axysafrica.com

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